

Case Study: Transforming Contoso Retail Group with AI

Background

Contoso Retail Group is a fictional mid-sized retail company operating:

- 150 stores across India and Southeast Asia
- 3,000 employees
- E-commerce website and mobile app
- Annual revenue: ₹1,500 Crores

The company faces several challenges:

Problem	Impact
Slow customer support	Low customer satisfaction
High employee workload	Reduced productivity
Inventory forecasting errors	Overstocking and shortages
Knowledge silos	Employees struggle to find information
Manual reporting	Delayed decision-making
Increasing competition	Revenue growth slowing

CEO wants to determine whether AI can help transform the business.

Current Situation

Customer Service

- Average response time: 18 hours
- 40% of queries are repetitive
- High call center costs

Sales and Marketing

- Campaigns are manually created

- Limited personalization

Operations

- Demand forecasting accuracy only 70%
- Excess inventory costs ₹25 Crores annually

Employees

- Spend significant time:
 - Searching documents
 - Writing emails
 - Preparing reports
 - Summarizing meetings
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Executive Meeting

The leadership team discusses AI adoption.

CEO

"We need growth and better customer experience."

CFO

"What is the ROI? How much will this cost?"

CIO

"Our data is spread across ERP, CRM, SharePoint, and Teams."

CHRO

"Will employees resist AI?"

CISO

"How do we protect sensitive customer data?"

Possible AI Opportunities

1. Employee Productivity

Implement Microsoft 365 Copilot:

- Draft emails

- Summarize meetings
- Create presentations
- Search enterprise knowledge

Expected benefit:

- Save 5 hours/week per employee
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2. Customer Support

Deploy AI agents:

- Handle FAQs
- Provide multilingual support
- Escalate complex cases to humans

Expected outcome:

- Reduce response time from 18 hours to 2 minutes
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3. Inventory Optimization

Use AI forecasting models:

- Predict demand
- Optimize stock levels
- Reduce waste

Expected outcome:

- Inventory accuracy from 70% → 90%
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4. Marketing

Generative AI for:

- Campaign content
- Product descriptions
- Personalized recommendations

Expected outcome:

- Increase online conversion rates
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Concerns Raised

The executives identify risks:

Data Security

- Customer PII exposure
- Oversharing of confidential information

Responsible AI

- Hallucinations
- Bias in recommendations
- Lack of transparency

Change Management

- Employee resistance
- Need for AI literacy

Governance

- Who owns AI strategy?
 - Who approves AI use cases?
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AI Transformation Framework

The leadership decides to follow four phases.

Phase 1 – Identify High-Value Use Cases

Prioritize:

1. Employee productivity
2. Customer service
3. Inventory optimization

Avoid "AI everywhere" strategy.

Phase 2 – Start Small

Pilot with:

- Sales team
- Customer support department
- Supply chain team

Measure:

- Time saved
 - Cost reduction
 - Employee adoption
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Phase 3 – Responsible AI

Apply Microsoft Responsible AI principles:

- Fairness
 - Reliability & Safety
 - Privacy & Security
 - Inclusiveness
 - Transparency
 - Accountability
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Phase 4 – Scale Across Organization

Create:

AI Center of Excellence

Including:

- CIO
- CISO
- HR leader
- Business leaders
- Data team
- Compliance team

Establish:

- AI governance
- Policies
- Training programs
- KPIs

One Year Later

Business Outcomes

Metric	Before	After
Customer response time	18 hours	3 minutes
Forecast accuracy	70%	91%
Employee productivity	Baseline	+22%
Call center cost	₹12 Cr	₹8 Cr
Customer satisfaction	72%	89%
Revenue growth	4%	12%
